

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 17-05

CMI DISTRIBUTION, INC.

COMPLAINANT,

v.

SERVICE BY AIR, INC., RADIANT CUSTOMS SERVICES INC. (FORMERLY KNOWN
AS SBA CONSOLIDATORS, INC.) and LAS FREIGHT SYSTEM LTD.

RESPONDENTS.

**RESPONDENT SERVICE BY AIR, INC.'S REPLY TO COMPLAINANT CMI
DISTRIBUTION INC.'S EXCEPTIONS TO INITIAL DECISION OF
ADMINISTRATIVE LAW JUDGE**

TABLE OF CONTENTS

I.	INTRODUCTION	1
II.	ARGUMENT IN REPLY TO CMI'S EXCEPTIONS	1
	A) SBA's Actions While Administering CMI's Inbound Cargo	1
	B) CMI's Award, If Any, Should Be Limited to Charges SBA Retained.....	4
III.	CONCLUSION.....	6

TABLE OF AUTHORITIES

Cases

<i>Graniteville Co. v. Scarade Lines</i> , Informal Dkt. No. 1647(I), 1991 FMC LEXIS 63 (Fed. Maritime Comm’n Jan. 24, 1991).....	5
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Statutes

46 U.S.C. § 41305.....	5
46 U.S.C. §§ 40101-41309	5
770 Ill. Comp. Stat. 45	3

Regulations

46 C.F.R. § 532.5(d)(2)(iv).....	4
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I. INTRODUCTION

Respondent Service By Air, Inc. (“SBA”) respectfully submits its reply to the exceptions to the Initial Decision of the administrative law judge (“ALJ”) filed by complainant CMI Distribution, Inc. (“CMI”). The majority of CMI’s exceptions brief merely rehashes the ALJ’s findings in his Initial Decision with vituperative and unjustified editorialization. The only substantive point CMI raises is the ALJ’s award to CMI being limited to SBA’s pricing markup over demurrage costs SBA paid third-party logistics providers.

II. ARGUMENT IN REPLY TO CMI’S EXCEPTIONS

A) SBA’s Actions While Administering CMI’s Inbound Cargo

All points CMI raises about the parties’ course of dealing, and SBA’s actions therein, took place at CMI’s direction with CMI never having any notion that SBA was undertaking NVOCC activities. Thus, CMI’s assertion that SBA “deliberately and fraudulently misled CMI into believing that it was an NVOCC”¹ is wholly unfounded and refuted by CMI’s own employee who managed CMI’s relationship with SBA, Justin M. Jalowiecki. The assertion SBA operated as an unlicensed NVOCC appears to be an attorney-conceived concept designed to concoct a basis for FMC jurisdiction over what is a civil dispute over the parties’ contract. These points are detailed in Respondent Service by Air, Inc.’s Exceptions to Initial Decision of Administrative Law Judge (“SBA’s Exceptions”), which is incorporated herein by this reference.

SBA summarizes its response to CMI’s points regarding the ALJ’s findings as follows:

- 1) SBA never represented to CMI that SBA would provide “the same service”² as CMI’s predecessor service provider, UTI. This assertion egregiously misstates deposition

¹ CMI’s Memorandum of Exceptions to Conclusions in Initial Decision and a Supporting Brief (“CMI’s Exceptions”) at 2.

² *Id.* at 3.

testimony of SBA's employee Bryan Tincher, which is quoted at length in SBA's Exceptions.³ Contrary to CMI's assertion, Tincher testified he could not opine as to whether SBA and UTI provided the same service, as he does not "know what UTI did."⁴ Indeed, the record contains no information or documentation as to what services UTI performed.

2) SBA did not issue bills of lading. Jalowiecki confirmed this in his declaration, and CMI concedes the air waybill forms CMI refers to were requested by CMI as invoicing backup after shipments were completed. They were not, and could not be, used for any bill of lading application.⁵

3) SBA did not represent it had a "tariff," and CMI did not understand that SBA did. As Jalowiecki confirmed in his declaration,⁶ Jalowiecki provided Tincher a pricing table that UTI had previously sent CMI during the CMI/UTI relationship which stated UTI's pricing.⁷ Jalowiecki asked Tincher to state to CMI SBA's proposed pricing on an identical table so that Jalowiecki could compare UTI's and SBA's pricing side by side. The two used the term "tariff" in their communications, but Jalowiecki understood the term "tariff," as they both used it, to mean simply a price list of services SBA would provide in the colloquial sense, and not a formal NVOCC tariff. Jalowiecki and Tincher merely neglected to remove terms UTI's form included in small, preprinted text on the bottom.⁸

³ SBA's Exceptions at 18-19.

⁴ *Id.* at 19.

⁵ See RX 114 and discussion in SBA's Exceptions at 11-14.

⁶ See discussion and citation to declaration statements in SBA's Exceptions at 17-18.

⁷ RX 115, 117.

⁸ RX 114-15. Notably, CMI's very detailed Verified Complaint makes no mention of any alleged representation by SBA that it has a tariff, or would perform the same services as UTI. Indeed, the UTI form is not mentioned at all in the Verified Complaint. SBA surmises that CMI's attorney discovered the form long after proceedings had commenced and seized upon it as an

4) SBA did not disguise demurrage charges, or mark them up improperly. The demurrage charges at issue were not from any “underlying carrier” (certainly not an ocean carrier); rather, third-party logistics provider Freight Tech⁹ charged demurrage to CMI for storage within Freight Tech’s Illinois truck yard facility. As explained in detail in SBA’s Exceptions,¹⁰ CMI’s controller and 30(b)(6) designee, Maria Vega, advised SBA she needed to budget demurrage charges when CMI’s inability to pay its Chinese suppliers began to generate a chronic demurrage issue. In or about early 2015, she insisted that SBA calculate a fixed per diem demurrage rate per container that SBA would charge CMI without deviation. This would enable her to budget payments for future shipments accurately when CMI’s cash flow issues prevented retrieval of arrived containers. After computing average demurrage costs based on historical data, SBA proposed, and CMI accepted, a demurrage rate of \$300/container/day.

5) SBA did not assert a “carrier lien.”¹¹ Any “carrier lien” would have originated with CMI’s Chinese suppliers and be enforced through the chain of providers that culminated with Freight Tech. SBA did not physically possess the cargo. SBA did not direct Freight Tech to withhold the cargo in any capacity as a “carrier.” To the extent SBA’s request that Freight Tech hold the cargo might be interpreted as a “lien” of any sort, it would be a commercial possessory lien on chattel for services rendered in accordance with Illinois commercial law.¹²

opportunity to bolster CMI’s case. Nothing in the record suggests CMI was ever aware of the form’s footnoted language.

⁹ Other third-party logistics providers also charged demurrage or the functional equivalent. *See* SBA Exceptions at 24-25. However, as the majority of the charges at issue were by Freight Tech, SBA refers collectively to all third-party logistics providers as “Freight Tech” for ease of reference.

¹⁰ SBA’s Exceptions at 20-23.

¹¹ RX 120.

¹² *See, e.g.*, 770 Ill. Comp. Stat. 45.

6) SBA did not charge CMI any demurrage or its functional equivalent that was not charged to SBA, although it did mark up those demurrage charges by approximately 20% in a manner CMI directed so as to compensate SBA for its administration services. The demurrage charges SBA paid on CMI's behalf are well documented in the Joint Appendix as summarized by the ALJ in his Initial Decision and SBA's Exceptions.¹³

B) CMI's Award, If Any, Should Be Limited to Charges SBA Retained

CMI's sole exception is to the ALJ's award being limited to sums SBA marked up over Freight Tech's demurrage charges and retained, without including sums Freight Tech charged for storage of CMI's property¹⁴ while CMI was financially unable to retrieve it.¹⁵ In other words, CMI would have SBA pay the costs of services a third-party provided CMI resulting from CMI's own financial issues, from which CMI benefited. The ALJ properly found that SBA should not be liable for such costs.

In his Initial Decision, the ALJ essentially ruled that SBA operated as an unlicensed NVOCC pursuant to a Negotiated Rate Arrangement ("NRA"). While SBA disputes this conclusion based on incontrovertible evidence, if accurate, SBA would have been entitled to collect "pass-through charges" from CMI pursuant to 46 C.F.R. § 532.5(d)(2)(iv), which provides that "[f]or any pass-through charge for which a specific amount is not included in the NRA or the rules tariff, the NVOCC may only invoice the shipper for charges the NVOCC incurs, with no markup." Under this analysis, the ALJ's award to CMI of only pricing markups was entirely appropriate.

¹³ Initial Decision at 20-24; SBA's Exceptions at 24-25. As explained in SBA's Exceptions at pages 24-25, the ALJ erroneously discounted backup documentation supporting SBA's charges to CMI for Folders 29, 44, 49, and 60-61.

¹⁴ Perhaps inartfully referred to as "demurrage." See SBA's Exceptions at 20-21.

¹⁵ See SBA's Exceptions at 8-9.

Similarly, even if the Commission determines that SBA acted as an NVOCC without a tariff, it could and should properly limit the reparations award to the marked-up amount. *See Graniteville Co. v. Scarade Lines*, Informal Dkt. No. 1647(I), 1991 FMC LEXIS 63 (Fed. Maritime Comm’n Jan. 24, 1991) (order adopting settlement officer’s decision). CMI asserts that the Commission cannot exercise discretion to reduce the amount of reparations by pass-through charges SBA was charged (and paid) for demurrage or its functional equivalent.¹⁶ CMI’s argument is misplaced.

By reducing reparations by the pass-through charges, the Commission would not be “ignor[ing] the plain language of the Shipping Act.”¹⁷ Rather, it would be interpreting the plain language of the Shipping Act consistent with its prior decisions. The Shipping Act permits the Commission to award “reparations to the complainant for *actual injury* caused by a violation of this part [46 U.S.C. §§ 40101-41309].” 46 U.S.C. § 41305(b) (emphasis added). The statute does not define the term “actual injury” other than to state that it “includes the loss of interest at commercial rates compounded from the date of injury.” *Id.* § 41305(a). When an NVOCC fails to file a tariff, the Commission has defined “the shipper’s ‘actual injury,’” as “whatever [the shipper] paid the NVOCC, *less* whatever payments were made by the NVOCC that the shipper would otherwise have had to pay.” *Graniteville*, 1991 FMC LEXIS at *6 (emphasis added). As the Commission has explained, defining “actual injury” this way “will permit shippers to obtain relief from an NVOCC’s failure to adhere to the tariff filing requirements of the 1984 Act, while at the same time ensuring that they do not reap an unwarranted windfall.” *Id.*

Even if the Commission concludes SBA acted as an NVOCC without a tariff, CMI’s “actual injury” does not include sums it would have had to pay Freight Tech regardless of SBA’s

¹⁶ See CMI’s Exceptions at 7-8.

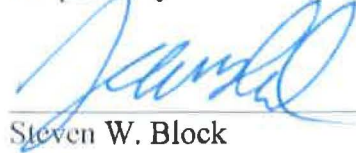
¹⁷ CMI’s at Exceptions 7.

participation. Thus, the ALJ properly reduced the reparations award by the amount that SBA paid on CMI's behalf for pass-through charges.

III. CONCLUSION

As explained in SBA's Exceptions, the Commission should conclude that SBA was not acting as an NVOCC, and dismiss the claims against SBA. If, however, the Commission finds that SBA acted as an NVOCC without a tariff, then it should conclude that the ALJ properly reduced the reparations award by sums SBA paid in pass-through charges, and further reduce the award by \$27,346.75 in recognition that documentation shows pass-through charges for Folders 29, 44, 49, and 60-61.

Respectfully submitted,



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July 31, 2019

CERTIFICATE OF SERVICE

The undersigned declares that on the date stated below I caused to be served the foregoing document, upon the following in the manner of service indicated:

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- ☐ Via First Class U.S. Mail
- ☐ Via Priority Mail Express
- ☐ Via Express Mail
- ☐ Via Hand Delivery
- ☒ Via Electronic Mail
- ☐ Via E-Service Within Clerk's online eFiling Application

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LAS Freight System Ltd.

- ☐ Via First Class U.S. Mail
- ☐ Via Priority Mail Express
- ☐ Via Express Mail
- ☐ Via Hand Delivery
- ☒ Via Electronic Mail
- ☐ Via E-Service Within Clerk's online eFiling Application

I declare under penalty of perjury under the laws of the state of Washington that the foregoing is true and correct.

Executed at Seattle, Washington, this 31st day of July, 2019.



Michelle Stark